

LIVEWIRE: 5 YEARS IN AND 1% OF PLAN · PART 3 OF 4

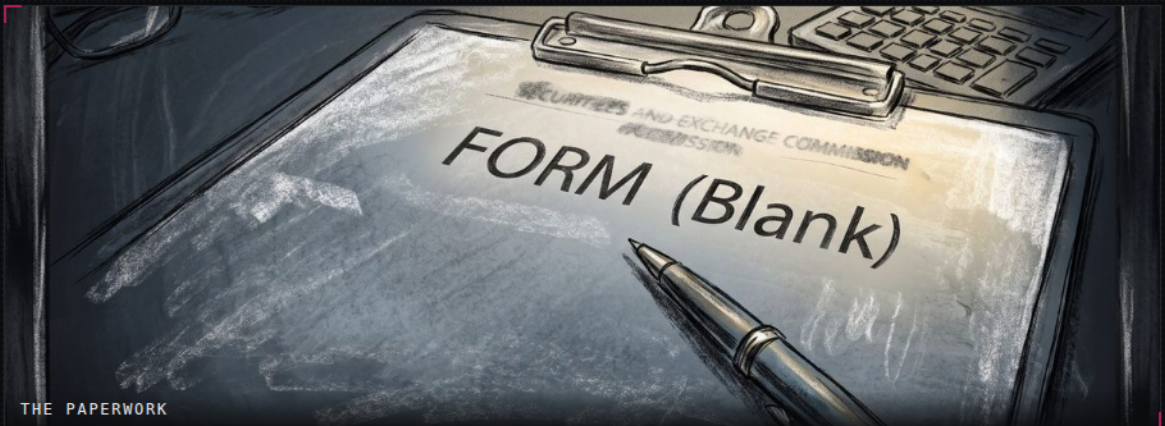
# TWO CONTRACTS, ONE TRAP

Why selling more motorcycles does not fix this.



LIVEWIRE: 5 YEARS IN AND 1% OF PLAN · THE ROUTE

# FOUR PARTS. ONE THESIS.



THE PAPERWORK

PART 1 OF 4

## THE GROWTH

386% is 55 bikes to 267. The plan was 100,000.  
The miss is the story.

PART 2 OF 4

## THE LINEUP

\$29,799 to \$4,999. Premium to price. The overhead  
never followed.

PART 3 OF 4 · THIS POST

## THE CONTRACTS

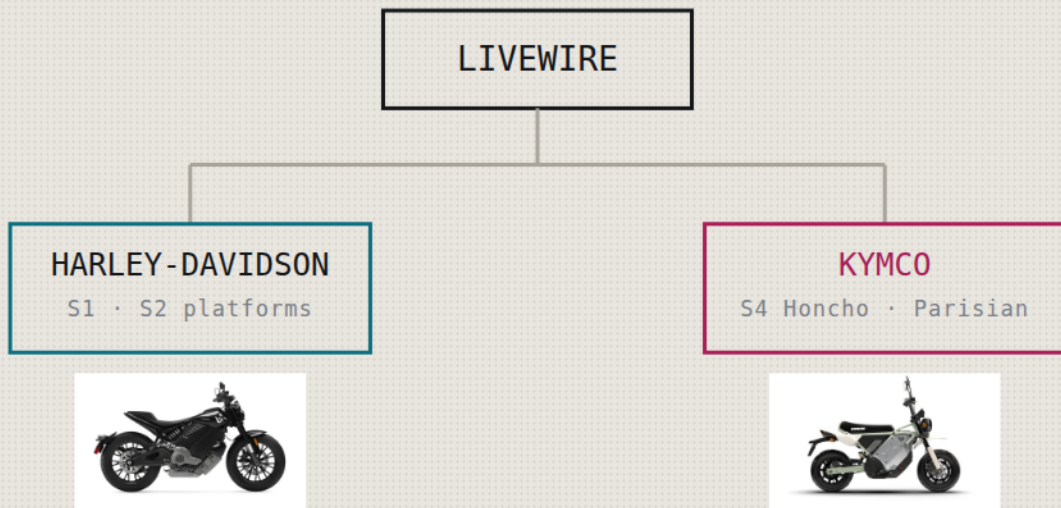
Buying bikes loses money. Not buying them costs  
money. Both in writing.

PART 4 OF 4

## THE LOAN & THE FINAL WORD

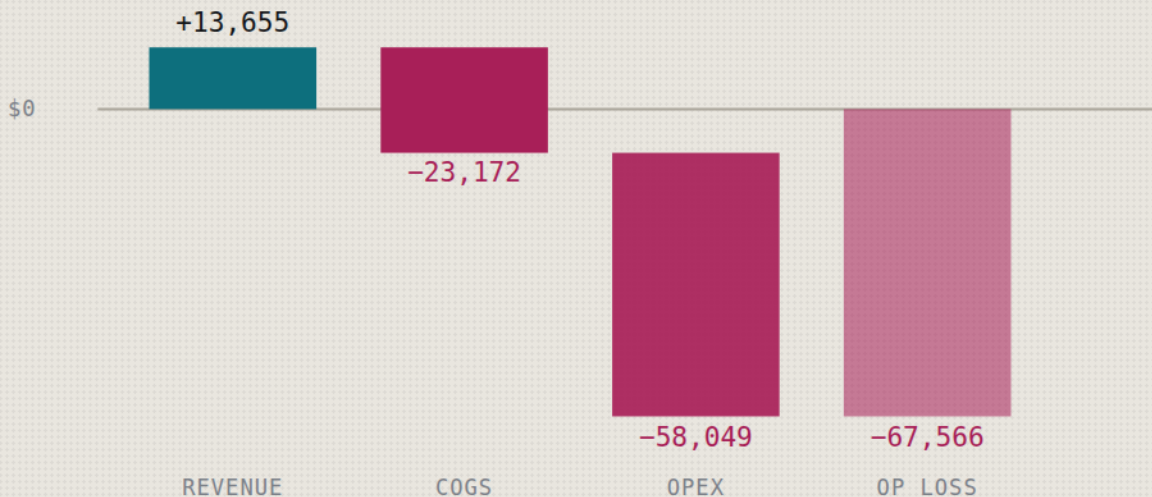
Nov 2025: equity backstop out, secured claim in.  
\$85M due Dec 2027.

# TWO CONTRACT MANUFACTURERS, SIGNED THE SAME DAY



**Both dated 26 September 2022.** Both carry minimum annual volume commitments. Both charge a deficit fee if the volume is missed.

# WHERE THE MONEY GOES, PER MOTORCYCLE



The motorcycle is nearly a rounding error.  
**\$58,049 of overhead per unit is the business.**

## THE PART NOBODY REPORTS

# 87%

OF Q2'S GROSS LOSS WAS INVENTORY WRITE-DOWNS,  
NOT THE COST OF BUILDING THE MOTORCYCLE

GROSS LOSS, Q2 2026: \$2,534K

NRV WRITE-DOWNS \$2,204K

EVERYTHING ELSE

Harley builds the motorcycles. **LiveWire buys them at cost-plus:** Harley's cost, plus a mark-up. Then writes them down to what they can actually be sold for. The filing proves the bikes were carried above what they would fetch; the contract supplies the mechanism.

**Cost-plus in, write-down out. That is my reading of the two documents together.**



S2 - BOUGHT AT COST-PLUS, WRITTEN DOWN ON ARRIVAL

THE FY2025 10-K, EXPLAINING WHY COSTS IMPROVED

*"...primarily driven by a significant decrease of the number of motorcycles purchased in 2025 as compared to 2024 resulting in lower net realizable value adjustments..."*

LIVEWIRE GROUP, FORM 10-K, FILED 20 FEBRUARY 2026

**MARGINS IMPROVED BECAUSE THE COMPANY BOUGHT FEWER MOTORCYCLES.**

# SO DON'T BUY THEM. EXCEPT.

BUY THE MOTORCYCLES

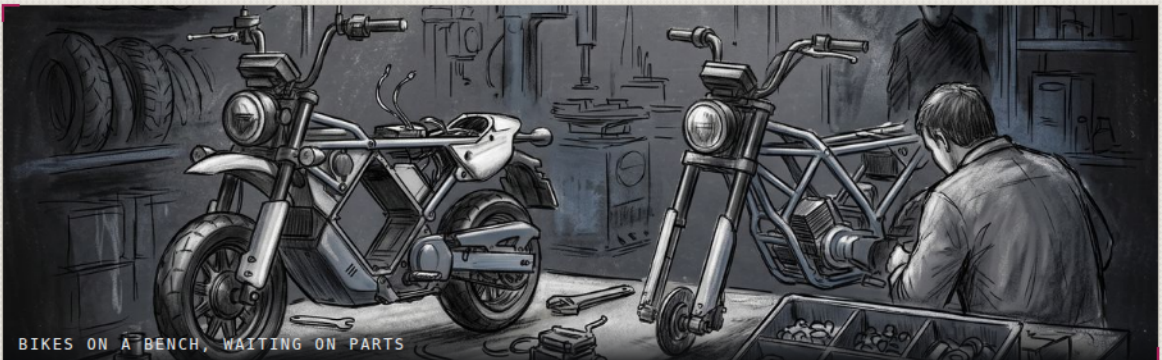
They are  
worth  
less than  
you paid

87% OF Q2'S GROSS LOSS

DON'T BUY THEM

## \$6.1M

2023 PROVISION FOR EXCESS  
INVENTORY COMPONENTS HELD BY H-D  
UNDER THE CONTRACT MANUFACTURING  
AGREEMENT



BIKES ON A BENCH, WAITING ON PARTS

Parts Harley had already procured to build motorcycles LiveWire didn't take. **There is no third option.**



BEGINNING CALENDAR 2027

# MINIMUM ANNUAL VOLUME COMMITMENTS, PER PRODUCT, WITH A DEFICIT FEE.

To Harley-Davidson. And, under the agreement amended in May 2026, to KYMCO as well.

**The exposure that already cost \$6.1 million once now exists in duplicate, and stops being discretionary.**

## THE THIRD DOCUMENT • MASTER SERVICES AGREEMENT



# 90

DAYS' NOTICE. EITHER PARTY. NO TRIGGER REQUIRED.

Everyone quotes the "forty percent" clause. The paragraph under it, §8.3(c) and §8.4, lets Harley-Davidson end the services agreement **for convenience**. Payroll, IT, the building, engineering support. Ninety days.



# THE ECONOMICS WERE NOT DECIDED BY THE MARKET. THEY WERE DECIDED BY THE TERMS.

Part 4: the loan that settled it eight months before the quarter, and the people who did the work anyway.

Full brief: the KYMCO Exhibit A, redacted cell by cell, is in there.

[contactpatchadvisory.com/groundtruth](https://contactpatchadvisory.com/groundtruth)